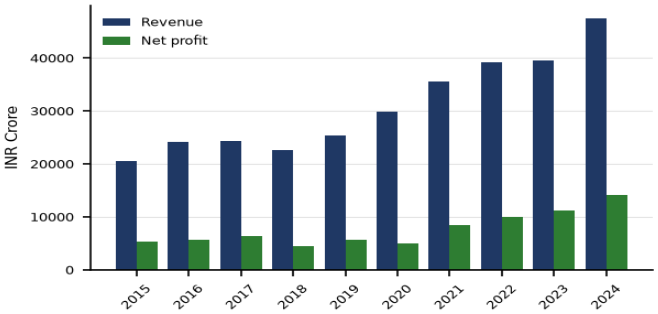
REC Ltd

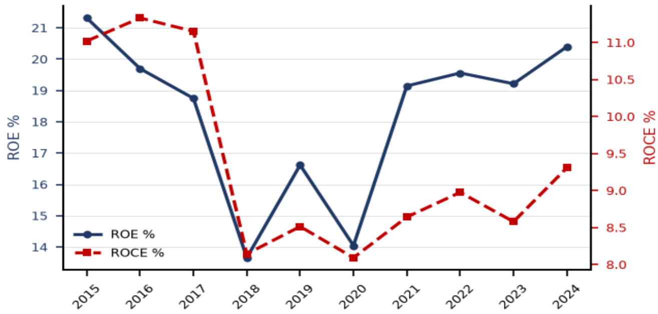
RECLTD
Financials

Key metrics

ROE	ROCE	Net profit margin
20.4%	9.3%	29.8%
Debt / Equity	**Revenue CAGR 5y**	**Free cash flow**
6.42	13.3%	-59,554 Cr

Revenue, profit and returns





Latest period Mar 2024. 12 years of history available. All figures in INR Crore.

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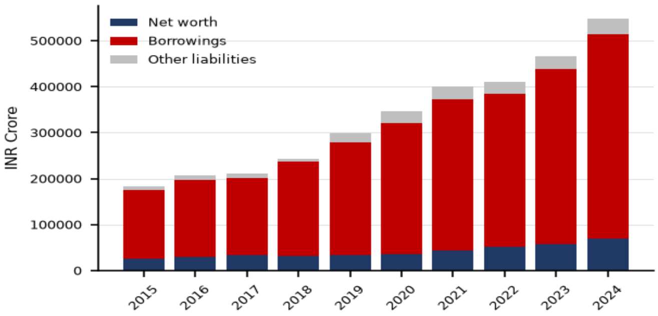
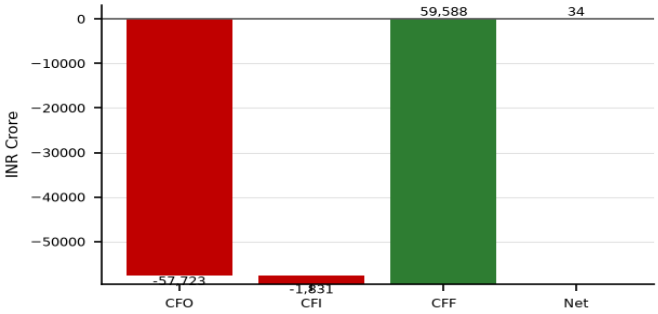
Balance sheet and cash flow





Capital allocation: Growth Funded by Debt

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (77%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (69%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Net debt at 9.2 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (63%)

Pros and cons are generated from the Sprint 5 rule engine. Percentages are rule confidence, not probability of outcome. Valuation inputs are simulated data.